

MARKET UPDATE

Monday Edition

August 17, 2026

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Decentralized Masters

CPI 3.4% IN-LINE

SEPT HOLD 67-69%

IRAN MOU EXPIRES

BTC \$63,100

JH IN 10 DAYS

WEEK AT A GLANCE

Aug 10-17, 2026

July CPI

3.4%

In-line with consensus

S&P 500

7,798

New all-time high Aug 13

Sept Hike

31-33%

From 44%; hold = 67-69%

Bitcoin

\$63,100

Failed \$65,600; lower

**July CPI 3.4% in-line — Sept hold now
67-69%; record S&P 7,798**

Three soft prints in a row: CPI, PPI (flat), retail sales (-0.6%). S&P hit 7,798 on CPI day — new all-time high. Hike odds fell from 44% to 31-33%.

**Bitcoin drifted lower despite everything —
CPI was already priced**

BTC went from ~\$65K to \$63,100 as ETF flows went net negative. In-line CPI wasn't the catalyst. The \$65,600 EMA remains unbroken.

**Cisco and Applied Materials:
beat-and-fade is the pattern**

Both beat estimates. Both stocks fell. Nvidia Aug 26 is the next test. Two consecutive beat-fades makes the third the signal.

**Iran-US MOU expires today — the key
macro risk variable**

60-day ceasefire window closes Aug 17 in deadlock. Brent \$88, up 5% last week on expiration risk. US response today determines August CPI trajectory.

JULY CPI 3.4% — THREE SOFT PRINTS, HOLD NOW BASE CASE

July CPI YoY

3.4%

vs 3.4% est. / 3.5% prior

Core CPI YoY

2.5%

Lowest since Mar 2021

July PPI MoM

0.0%

vs +0.2% est.; below exp.

Sept Hold Odds

67-69%

From 31-33% hike prob.

READING THE DATA — AND THE IMPORTANT CAVEAT

● Core 2.5% is the lowest since March 2021 — genuine progress

The core reading was helped by shelter softening to +0.1% MoM. Energy fell 1.5% MoM. Both suggest the July environment was genuinely disinflationary.

● The bond market is not fully convinced — 10-yr at 4.70%

Even as hike odds fell and stocks rallied, the 10-year yield stayed near a 19-month high. The long end is pricing structurally higher inflation, not near-term Fed cuts.

● The critical caveat: July data is already a month old

This report reflects July oil prices — which benefited from Hormuz diplomatic relief mid-month. The Iran-US MOU expires today. August oil trajectory determines whether this disinflationary read persists.

● Sept hold at 67-69% is the base case — but conditionally

A Hormuz escalation pushing Brent above \$92, or a hot August CPI (due ~Sep 10-12), could flip September back to a live hike meeting. The relief is real but fragile.

RETAIL SALES -0.6%: THE CONSUMER SIGNAL TO WATCH

Retail Sales MoM

-0.6%

vs +0.1% est.; biggest miss since May 2025

Motor Vehicles

-1.8%

Largest single drag; rate-sensitive sector

U. Michigan Sentiment

51

Prelim Aug; -8% drop; 5th month >4% inflation exp.

WHERE THE WEAKNESS WAS

Motor vehicles	-1.8%
Online / non-store	-2.2%
Electronics stores	-0.9%
Restaurants / bars	+0.5%
Total retail	\$763.6B

WHAT IT MEANS

- The online decline is partly payback from June's early Prime Day. The structural weakness is in autos — a rate-sensitive category that reacts to elevated financing costs.
- Consumer spending is rotating from goods to services (restaurants +0.5%, fourth straight). That's not a recession pattern — it's a post-reopening normalization that slowed.
- Michigan sentiment at 51 (-8%) with inflation expectations above 4% for the fifth straight month suggests consumers feel squeezed between sticky inflation and high rates.
- For the Fed, a softening consumer reduces the case for hiking. For equities, it raises questions about whether the growth narrative can sustain current valuations.

KEY QUESTION: Is the consumer softening a temporary dip (payback from Prime Day) or the start of a structural deceleration? August retail sales (Sep) will answer that.

CISCO + APPLIED MATERIALS: BEAT-AND-FADE WARNING

Cisco Systems

CSCO FY26 Q4

BEAT

\$17.3B (+18%)

MOVE

-AH after results

AI orders \$4B Q4; \$9.3B FY26; AI infra rev \$7.5B FY27 guide

Applied Materials

AMAT FY26 Q3

BEAT

\$9.12B (+25%)

MOVE

-3.46% on day

Record; CEO raised 2026 semi systems revenue outlook on AI demand

THE BEAT-AND-FADE PATTERN — AND WHY NVIDIA AUG 26 MATTERS

● What beat-and-fade means

Revenue and earnings beat consensus. Stock falls anyway. The results are good but priced-in — or better-than-good isn't enough to justify current valuations.

● Why two data points make a pattern

Cisco and AMAT are different parts of the AI stack — networking and semiconductor equipment. Both beat. Both fell. This is valuation-level, not company-specific.

● Nvidia Aug 26 is the definitive test

Beat-and-hold = beat-fades were noise, AI trade has fuel. Beat-and-fade = pattern confirmed, AI valuation exhaustion is real — with spillover to crypto sentiment.

IRAN-US MOU EXPIRES TODAY — OIL AT \$88 BRENT

Aug 17

BRENT CRUDE JOURNEY

● Jul peak	\$102
13 nights US strikes on Iran	
● Aug 2-3	\$87-88
Iran pause; Oman talks	
● Aug 7-10	\$82-84
Iran FM rules out direct US talks	
● Last wk close	\$88
+5% on MOU expiry fear	
● Today Aug 17	\$88-90?
MOU expires; escalation TBD	

BULL CASE

- US soft-pedals MOU expiry; Oman-Iran bilateral closes
- Brent falls to \$78-82; August CPI disinflationary
- September hold stays 67-69%; risk assets hold gains

BEAR CASE

- US resumes full naval blockade; new strikes
- Brent spikes above \$92-95; August CPI re-accelerates
- September FOMC back to 50/50 or hike-leaning
- BTC re-tests \$60K; ETF outflows accelerate

Oil is the master variable. Every \$10 sustained Brent move = ~0.3-0.4% CPI. Aug 17 escalation → October FOMC becomes the live hike meeting.

CRYPTO: BTC \$63,100 — CPI PRICED IN, \$65,600 INTACT

Bitcoin

\$63,100

-2.8% on week

DC2626

Ethereum

~\$1,880

-3.0% on week

DC2626

Fear & Greed

37

Fear — unchanged

EA580C

ETF Flows

Net (-)

Streak broken last wk

DC2626

THE PUZZLE: WHY DIDN'T SOFT CPI MOVE BITCOIN?

- Three soft prints materialized: CPI in-line, PPI flat, retail sales -0.6%. S&P hit a new ATH. September hike odds fell from 44% to 31%. Bitcoin went from \$65,000 to \$63,100. The bull case played out macro-side, and BTC still fell.
- The answer: in-line CPI wasn't a positive surprise. The NFP miss two weeks ago already moved hike odds from 57% to 44%. The additional move from 44% to 31% on a consensus print is incremental — not the catalyst needed to break the \$65,600 EMA ceiling that has held all year.
- ETF flows confirm the diagnosis. The week of Aug 3-7 produced \$853M — the best week since April. Last week (Aug 10-14) went net negative. Aug 10 alone: -\$144.7M. The institutional re-entry that was building for 4 weeks stalled and reversed.
- Strategy sold 1,690 more BTC (~\$108M) last week — the seventh consecutive week of BTC sales with no purchases. When the world's largest corporate Bitcoin holder is a persistent net seller, it suppresses the price ceiling that ETF inflows need to push through.

THE \$65,600 CEILING — WHY BITCOIN KEEPS FAILING HERE

KEY PRICE LEVELS

\$67,300

Kruger resistance; next test if EMA breaks

\$65,600

50-month EMA — ceiling all 2026; failed Aug 7

\$65,300

August high (Aug 7, post-NFP); failed to hold

\$63,100

Current price — below the cost-basis cluster

\$62,000

First support; must hold on any pullback

\$60,000

Psychological floor; structural support all cycle

\$57,700

2026 cycle low (Jun 25 flush); structural floor

ETF FLOWS — STREAK BROKEN

Aug 3-7

\$853M net inflow

Best week since April

Aug 10

\$-144.7M

Streak broken immediately

Aug 10-14 wk

Net negative

4th positive week: did not happen

STRATEGY — 7 WEEKS SELLING, 0 BUYING

Last week sold:

1,690 BTC (~\$108M)

Purpose:

Repurchase STRC preferred stock

Total 2026 sales:

~\$432M BTC across 7 weeks

Structural impact:

World's largest corporate BTC holder = net seller;
suppresses ceiling

CLARITY ACT UPDATE + JACKSON HOLE 10-DAY SETUP

CLARITY ACT — THUNE'S SEPT GAMBIT

What happened

Senate recessed Aug 7 without a floor vote. 28% Polymarket odds at recess.

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Thune's move

Filed cloture motion Aug 8 — preserves bill's calendar slot for Sept return.

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Sept window

Senate returns Sept 8. Bill can be brought up without re-committee. Needs 60 votes.

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Reality

60-vote threshold needs 7-9 Dem crossovers. Appropriations compete for floor time.

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Atkins track

SEC Chair providing agency guidance as interim. Not as durable as statute.

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Most likely path

Year-end appropriations rider or early 2027 standalone vote.

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JACKSON HOLE — AUG 27-29 (10 DAYS)

10

days



Wed Aug 26

Nvidia Q2 FY27 Earnings

AI trade referendum the night before JH



Thu Aug 28

Warsh JH Keynote

Financial Innovation + Payments + Policy



Sep 4

August NFP

Final labor data before Sept FOMC



~Sep 12

August CPI

Hormuz outcome baked in here



Sep 16-17

FOMC Decision

~31-33% hike / 67-69% hold

01

Iran MOU — Today

The Master Variable for August CPI

- US response today defines Brent trajectory for August. Escalation = Brent \$92+ = August CPI re-accelerates = September hike back to 50%+.
- Iran-Oman bilateral deal closing would be the bull case: Brent \$78-82, August CPI disinflationary, September hold locked in above 70%.
- Oil at \$88 is already pricing in some escalation risk. A non-event (informal extension, ambiguous statement) = oil drifts lower, relief rally in risk assets.

02

Nvidia Aug 26

AI Trade Referendum Before Jackson Hole

- Cisco and AMAT both beat and fell. Pattern requires a third data point to confirm. Nvidia is the most important AI name in the market.
- Beat-and-hold = AI trade still has fuel; risk-on into JH; BTC ETF inflows restart; \$65,600 EMA tested with momentum behind it.
- Beat-and-fade = AI valuation exhaustion confirmed; tech caution bleeds into crypto sentiment; BTC stays rangebound below \$65,600 into September.

03

Warsh Aug 28

First JH Keynote as Chair

- Soft NFP + in-line CPI + flat PPI gives Warsh data cover to sound balanced. A data-dependent, hold-leaning tone = September hold stays at 67-69%.
- Theme 'Financial Innovation + Payments + Policy' — any language on digital assets, stablecoins, or Bitcoin's role in payments would be historically unprecedented.
- The combination Nvidia Aug 26 + Warsh Aug 28 in a 24-hour window is the single most important 24 hours for crypto between now and the September FOMC.